

Why shallow bay | The structural case — and where it shows up regionally

Port proximity is one input, not the whole case. Six structural drivers explain why shallow bay specifically captures a disproportionate share of port-driven demand, regardless of any single trade cycle.

1 Last-mile, not just port-adjacent

Final-mile parcel and distribution demand is driven by dense population and same-day delivery expectations — a driver independent of ocean-freight cycles.

2 Land that can't be replaced

Under-construction inventory is ~4x higher in big box (2.6% of stock) than last-mile (0.6%) — zoning and land cost structurally cap new shallow-bay supply (Faropoint Research).

3 Granular, diversified tenancy

Dozens of small, service-oriented tenants per roll — trades, light manufacturing, distribution — spread credit and re-tenanting risk versus one large user.

4 Rents — and yields — mark to market faster

Shorter lease terms let owners reprice more often; the same dynamic shows in cap rates — urban logistics (20–100K SF) trades ~70 bps wide of big box (Faropoint Research).

5 Fragmented ownership, our entry point

79% of the 20–100K SF universe (\$1.1T sector, avg. asset value \$5M) is privately owned — a durable, largely un-institutionalized acquisition pipeline (Faropoint Research).

6 Demand from more than one source

Population growth, reshoring of light manufacturing and local service businesses all draw on the same infill space — insulating it from any single macro shock.

THE PATTERN, GEOGRAPHICALLY

Six drivers. One corridor.

Every driver above is a national argument for the format — but it plays out locally, tied to where people actually live and where port volume actually lands. The next page maps that demand across the corridor, from Washington DC to the Hudson Valley.